Accelerating Hong Kong's bond market development - building a diversified, deep, dynamic and digital-native market

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Welcoming remarks and keynote address by Mr Eddie Yue, Chief Executive of the Hong Kong Monetary Authority, at the Treasury Markets Summit 2026, Hong Kong, 23 September 2026.

Introduction

Good morning, everyone. It is a great pleasure to welcome you to this year's Treasury Markets Summit.

Last year, I was here to talk about the HKMA's mission to uphold Hong Kong's status as a leading international financial centre, as well as our progress and future direction in the offshore RMB market, particularly how our work is centred around three key themes: capacity, connectivity, and agility. The results are showing. Hong Kong's daily foreign exchange (FX) turnover in April this year, as shown by the TMA's Survey of Foreign Exchange Market Activity, was up 20% as compared to October last year. In terms of RMB activities, RMB RTGS payment and RMB trade settlement have remained active, while RMB loans expanded by almost 30%. Meanwhile our equity market has also had a very good run with new listings and trading activities both registering remarkable growth.

While there is a lot to say about our FX and equity markets, today, I want to focus on another critical pillar of Hong Kong's financial ecosystem: our bond market.

We are navigating an era increasingly defined by two powerful forces: resurging geopolitical tensions and rapid technological disruptions. In this landscape, issuers and investors are not just adjusting to changing dynamics; they are fundamentally reassessing their strategies to meet evolving funding and investment needs.

Hong Kong stands at the intersection of these challenges and opportunities, an intersection where global capital meets stability, connectivity, and long-term growth.

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management tools for investors. Together, these three pillars underpin our all-round competitiveness as a premier international financial centre.

Indeed, Hong Kong's bond market has built a very strong foundation. Over the last two decades, the market has expanded at a compound annual growth rate of 20%. For nine of the last ten years, we have remained the leading arranging hub for international bond issuances from Asian entities. Just last year, Hong Kong accounted for around 25% of all international bond issuances across Asia.

Underlying this strong growth, Dim Sum bond stands out and shines. Hong Kong consistently ranks number one for international RMB bond issuances. Recently, with favourable HKD funding conditions, HKD-denominated Wonton bonds are also gaining significant traction. Wonton issuances by global players have increased by 64% year-on-year in the first half of this year. Furthermore, we are at the forefront of innovation. Half the world's digital bonds by volume were issued right here in Hong Kong in the first half of 2026.

But there is no room for complacency. Our task is clear: we must build on this strong foundation and unlock new engines of growth.

Last September, alongside the SFC, the HKMA released the *Roadmap for the Development of Fixed Income and Currency (FIC) Markets* – or "FIC Roadmap". We are forging ahead with concrete initiatives to broaden market participation, deepen offshore RMB liquidity, and modernise our infrastructure to support the next generation of digital and cross-border fixed-income activity.

I will summarise our vision through four key dimensions: a Diversified, Deep, Dynamic, and Digital-native bond market. Let me walk you through each of these.

Diversification

First, diversification. We are actively working to attract more issuers and investors from across the globe. The HKMA has been conducting targeted outreach in Asia Pacific, North America, Europe, and the Middle East to bring in more issuers and investors to tap and participate in Hong Kong's bond market.

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currencies and increasing issuance sizes, we are also extending the tenors of both CNH and HKD bonds. This provides crucial longer-dated reference points on the yield curve, offering useful benchmarks that foster diversified private-sector issuances while deepening the long-tenor segment of the bond market.

These initiatives have successfully attracted first-time international issuers and made Hong Kong their selected launchpad. Last year, 55% of the debut international bond issuance by Asian issuers chose Hong Kong. We have seen landmark successes with sovereign and sub-sovereign issuers, such as the Development Bank of Kazakhstan's 2 billion yuan Dim Sum bond. Some, like the Indonesian government, have returned for repeat issuances. This is the power of a trusted market.

Deepening

Second, we need a deeper market. Let me focus specifically on the RMB front.

To address short-term funding needs, the HKMA is exploring a 7-day offshore RMB liquidity tendering mechanism. We are also planning to issue offshore RMB short-term debt instruments to provide the market with more high-quality liquidity management products and strengthen the offshore RMB yield curve.

To add to that, our efforts to increase connectivity will further boost liquidity. Northbound Bond Connect has firmly established itself as the primary channel for overseas investors to invest in Chinese bonds. Meanwhile, the Southbound channel is also seeing enhancements across multiple dimensions, including quotas, product scope, repo business, and market making. Increased connectivity broadens the investor and issuer base, and in turn significantly improves market depth further.

In addition to the above measures, we have significantly enhanced the RMB Business Facility. Since its launch in 2025, the facility has successfully radiated offshore RMB globally via Hong Kong. In July, with the support of PBoC, we increased the aggregate quota of the facility to 500 billion yuan and extended tenors to up to three years. This deepens liquidity and reinforces Hong Kong's role as the global offshore RMB business hub.

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are transforming the CMU platform and expanding CMU OmniClear's international links to strengthen cross-border settlement and custody. This year, we welcomed the Central Bank of the United Arab Emirates as a member and connected with SIX of Switzerland, launching equity post-trade services for the first time. We are also collaborating with Macao's central securities depository to enable Southbound investors to also hold securities there. Through these and other linkages, we are consolidating CMU's role as Asia's major international central securities depository.

The other initiative of establishing a multi-asset class, post-trade securities infrastructure with Hong Kong Exchanges and Clearing Limited (HKEX) is also delivering tangible benefits. The broader use of Bond Connect securities as margin collateral at HKEX clearing houses will go live soon. Our next focus is to enhance the acceptance of CMU-custodied securities, including Chinese Government Bonds, as margin collateral.

Digital-native

Finally, we need a digital future. Hong Kong has made remarkable inroads in our digital bond journey. The HKMA has supported the HKSAR Government in launching three digital bond issuances that constantly pushed the frontier. The breakthroughs included:

- the world's first tokenised government green bond in 2023;
- the first multi-currency digital bond in 2024; and
- the first bond incorporating tokenised central bank money in the form of e-HKD and e-CNY in 2025.

These successes demonstrate the effectiveness of Hong Kong's infrastructure and regulatory framework, ushering in a wave of corporate issuers from Asia and the Middle East to follow suit.

To go one step further, the HKMA is working with the industry to provide the building blocks to nurture our digital bond market. The HKMA will continue to support the HKSAR Government in issuing digital bonds on a regular basis and push for deeper integration with digital monies. Through the Tokenised Bond Expert Group, we are collaborating with the industry to drive wider adoption, positioning Hong Kong as a leading hub for global tokenised bond issuance.

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explore integration with tokenised deposits and regulated stablecoins, thereby reinforcing Hong Kong's leadership in global digital finance. Meanwhile, the HKMA will conduct tests on the operation of the tokenisation of Exchange Fund Bills. This will facilitate banks to explore ways to further enhance their asset and liability management.

Looking ahead, the forthcoming FIC trading platform will harness the latest technology to drive efficiency and liquidity. The new platform will be operated by Bond Connect Company, which is a joint venture between China Foreign Exchange Trade System (CFETS) and HKEX. It will enable not only fixed income trading in accordance with international standards but also integrate settlement and custody solutions. The platform has the potential to reduce transaction costs, enhance price discovery, and improve settlement efficiency. This will in turn help strengthen cross-border connectivity and cultivate a vibrant secondary market.

Closing

So, what do all these developments mean for you, the financial practitioners? They will create great opportunities across the fixed-income landscape – from raising capital and managing liquidity, to hedging and risk management, and to developing new digital services.

For bond issuers, a more diversified bond market means a compelling fundraising channel with diverse options across tenors and currencies. For investors, it means a wider range of products for asset allocation, hedging and liquidity management.

More importantly, as RMB FIC trading grows and thrives, it invariably will draw upon the liquidity and expertise of the CNH market in Hong Kong. Financial practitioners in Hong Kong will find business opportunities in actively offering RMB FX, funding and treasury solutions to your clients.

Finally, Hong Kong's leadership in digital finance will foster innovative solutions to issue and invest in fixed-income assets. This translates into greater efficiency, transparency and accessibility for trading and sales desks which adopt and integrate the technology more effectively than others.

In short, our vision is to create a diversified market with broad participation, a deep market with robust liquidity, and a dynamic, digital-native market with future-ready infrastructure.

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Thank you.

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